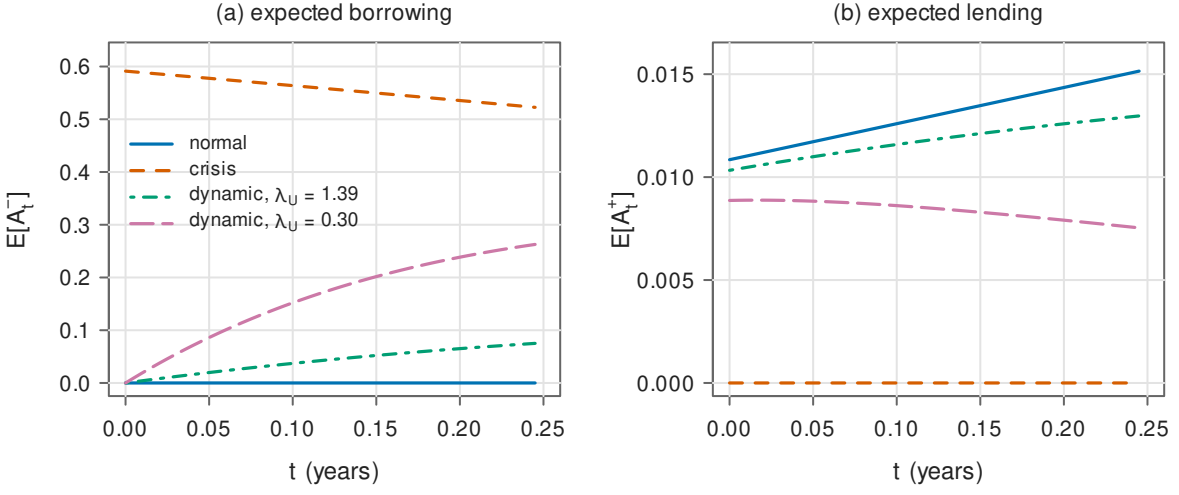
(a) expected borrowing
(b) expected lending
normal
crisis
dynamic, λU = 1.39
dynamic, λU = 0.30
E[A_t^-]
E[A_t^+]
t (years)
t (years)
0.6
0.5
0.4
0.3
0.2
0.1
0.0
0.015
0.010
0.005
0.000
0.00
0.05
0.10
0.15
0.20
0.25